

EXECUTIVE SUMMARY

A. Introduction

The City of Manila was founded on June 24, 1571, as a municipal government. It became the first chartered City by virtue of the Philippine Commission Act No. 183 on July 31, 1901, and gained autonomy with the passage of Republic Act (RA) No. 409 or the “Revised Charter of the City of Manila” on June 18, 1949.

The personnel complement of the City in CY 2023 totaled 19,350 composed of the following:

	Executive Office	City Council	Total
Elected	2	38	40
Permanent	8,156	122	8,278
Co-Terminus	-	465	465
Temporary/Casual	52	-	52
Consultant	-	20	20
Contractual	1,968	5	1,973
Job Order	7,232	1,290	8,522
Total	17,410	1,940	19,350

B. Financial Highlights

Particulars	2023	2022	Increase/ (Decrease)
Assets	81,680,431,791.61	73,694,401,449.64	7,986,030,341.97
Liabilities	31,374,764,902.33	26,765,116,831.55	4,609,648,070.78
Equity	50,305,666,889.28	46,929,284,618.09	3,376,382,271.19
Income	21,289,945,406.93	19,691,666,908.39	1,598,278,498.54
Expenses	17,462,230,348.47	16,180,950,995.39	1,281,279,353.08
Transfers, Assistance and Subsidy From	26,892,809.75	28,178,905.45	(1,286,095.70)
Transfers, Assistance and Subsidy to	(851,267,487.40)	(1,188,404,840.87)	337,137,353.47

The total appropriations for the General Fund (GF) and Special Education Fund (SEF) of the City for CY 2023 totaled P24.640 billion. The obligations charged against these appropriations amounted to P21.696 billion:

Particulars	2023	2022	Increase/ (Decrease)
Appropriations	24,640,000,000.00	28,044,664,553.00	(3,404,664,553.00)
Obligations	21,695,997,966.03	20,506,127,301.87	1,189,870,664.16

The total income of P21.290 billion collected during the year was sourced from the following:

Particulars	GF	SEF	Total
Tax Revenue	11,917,984,802.80	3,437,188,557.27	15,355,173,360.07
Share from Internal Revenue Collections	4,249,406,041.00	-	4,249,406,041.00

Particulars	GF	SEF	Total
Service and Business Income	1,579,700,732.00	16,331,520.28	1,596,032,252.28
Shares, Grants and Donations	69,183,724.78	-	69,183,724.78
Gain on Sale of Assets	14,055,323.94	-	14,055,323.94
Miscellaneous Income	6,094,704.86	-	6,094,704.86
Total	17,836,425,329.38	3,453,520,077.55	21,289,945,406.93

C. Operational Highlights

The City reported, among others, the following significant accomplishments in CY 2023:

- a. Continued mass vaccination at various vaccination centers within the City;
- b. Kalinga sa Manila Project to six districts of Manila;
- c. Distribution of monetary assistance to families affected by multiple fire incidents;
- d. Distribution of Christmas food boxes to six districts of Manila;
- e. Construction/ repair/ rehabilitation/ improvement/ upgrading/ installation of various structures and facilities:
 - Completion of the following major infrastructure projects:
 1. Construction of Manila Science High School;
 2. Installations of Solar Studs (Phase 3);
 - Ongoing construction of the following projects:
 1. Installation of traffic signal lanterns at various street intersections in the City;
 2. Construction of Dr. Albert Elementary School;
 3. Construction of Rosauro Almario Elementary School;
 4. Construction of San Sebastian Residences;
 5. Construction of Pedro Gil Residences;
 6. Construction of San Lazaro Residences;
 7. Construction of 10-storey, 232 classrooms school building at Ramon Magsaysay High School;
 8. Installation of solar road studs (Phase 4);
 9. Construction of six-storey School Building at Emilio Jacinto Elementary School; and
 10. Construction of six-storey School Building at Aurora A. Quezon Elementary School.

In the same year, the City received the 2023 I-ACT Magiting na Lingkod Award.

D. Scope and Objectives of Audit

The audit covered the accounts and operations of the City of Manila for the period January 1 to December 31, 2023. The audit aimed to: (a) lend credence to Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Auditor's Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements due to the deficiencies noted in the audit that materially affected the balances/totals of certain accounts, which are discussed in detail in Part II of the report, and summarized as follows:

1. The accuracy of the Cash-in-Bank (CiB) accounts balance as of December 31, 2023, amounting to P9.237 billion could not be established due to: 1) unreconciled variance of P106.634 million between books balances and the result of bank confirmations, and 2) accumulated unadjusted book reconciling items for several years totaling P182.123 million, mainly due to lapses in the preparation and submission of Bank Reconciliation Statements (BRS) contrary to Section 74 of Presidential Decree (PD) No. 1445. Thus, affected the fair presentation of the Financial Statements (FS).

We recommended and Management agreed that the Office of the City Accountant (OCAT) and the City Treasurer's Office (CTO):

- a. Reconcile the variances between the balances per bank confirmations and book balance, and accordingly effect the necessary adjustments to reflect correct ending balances of CiB accounts;
 - b. Cause the timely preparation and submission of monthly BRS for each bank account pursuant to Section 74 of PD No. 1445; and
 - c. Formulate a document tracking system to establish accountability for records to provide an effective internal control tool for documentation and recording of the City's transactions.
2. The accuracy, completeness, and reliability of the year-end balance of Accounts Payable (AP) amounting to P4.577 billion could not be determined due to net understatement variance of P525.085 million from confirmation results with contractors/suppliers as against balances per books contrary to Paragraph 27 of International Public Sector Accounting Standard 1. Thus, affecting the fair presentation of the FS.

We recommended that Management direct:

- a. The OCAT to:
 - Identify the causes of variances between recorded accounts payable and the contractors/suppliers' confirmed balances and reconcile the same;
 - Coordinate with the City General Services Office (CGSO) as to status of deliveries of goods and services and recognize the corresponding liability if no payment had been made; and
 - Maintain a separate Subsidiary Ledger for each contractor/supplier for proper monitoring of each outstanding payable and status of accounts.

- b. The CGSO to promptly inform the OCAT of deliveries of procured goods and services and furnish the latter with required documents to support the timely recording of transactions.

F. Significant Audit Observations and Recommendations

The significant observations and recommendations that need immediate action are as follows:

1. Insufficient imposition of Real Property Tax and Special Education Tax by the City due to: a) Misplaced application of the Assessment Levels (ALs) prescribed under Section 12 of Ordinance No. 8331, s. 2013; and b) Omission of 1,130 Real Property Units (RPU) in the Assessment Rolls (AR) contrary to Section 2, Chapter II, Manual on Real Property Appraisal and Assessment Operations, thereby diminishing the City's earnings to be utilized to finance its programs/projects/activities.

We recommended and the Management agreed that:

- a. The Office of the City Assessor –
 - Ensure that Assessment Levels and Assessed Values are accurately computed and provided;
 - Submit to the Auditor's Office the updated copies of Tax Declaration as proof of corrections/updates made to the 452 RPU;
 - Appraise and assess the RPU not included in the Assessment Roll and submit copies of tax declaration as proof appraisal and assessment;
 - Review other tax maps not included in the sample to ensure that RPU inscribed therein are included in the AR;
 - Henceforth, ascertain that RPU in the tax maps are included in the AR; and
 - b. The CTO charge and collect from taxpayers the amount of P3,336,539.51 that were under imposed in CY 2023 due to erroneous application of the Assessment Level, and henceforth, ensure that correct amount of taxes is imposed/collected.
2. A total of P472.416 million withheld for CY 2023 remittances to the BIR, GSIS, Pag-IBIG and PhilHealth have not been remitted by the City contrary to existing rules and regulations.

We recommended and Management agreed to ensure prompt and full remittance of all withholding taxes, contributions, premium payments, loan amortization and other amounts due to the BIR, GSIS, Pag-IBIG and PhilHealth pursuant to the above-mentioned regulations.

The aforementioned observations together with the corresponding recommendations were discussed with Management officials concerned during the exit conference on April 30, 2024. Management views and comments were incorporated in the report, where appropriate.

G. Summary of Suspensions, Disallowances and Charges as of Year-end

The audit suspensions, disallowances and charges amounting to P42,538,364.47, P67,199,797.90 and P33,046,763.65, respectively, remained unsettled by the concerned officers/employees and third parties determined to be liable thereto due to the inability of the Management to fully enforce settlement of the same as required under Section 7.1.1 of COA Circular No. 2009-006 dated September 15, 2009.

H. Status of Implementation of Prior Years' Audit Recommendations

Of the 53 prior years' audit recommendations contained in the CYs 2017, 2018, 2019, 2020, 2021 and 2022 Annual Audit Reports, 44 or 83.12 percent were implemented, and nine or 16.98 percent were unimplemented.